

MacroLens Daily Brief — July 02, 2026

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Top Headlines

1. Iran prepares to bury slain supreme leader with week of mass mourning - Reuters

Reuters — 2026-07-02 18:33

Iran prepares for a week of mass mourning following the death of its supreme leader, creating geopolitical uncertainty in the Middle East.

2. Iran warns US, Israel against attacks ahead of funeral processions for Khamenei - Reuters

Reuters — 2026-07-02 17:56

Iran warns the US and Israel against attacks during funeral processions for Khamenei, escalating regional tensions and raising risk premiums on oil.

3. EXCLUSIVE: Kuwait sharply boosts crude production in June after US-Iran deal, source says - Reuters

Reuters — 2026-07-02 16:35

Kuwait sharply boosted crude production in June following a US-Iran deal, increasing global oil supply and pressuring prices.

4. UBS lowers 2026-2027 oil price forecasts as Hormuz flows recover - Reuters

Reuters — 2026-07-02 09:45

UBS lowered its 2026-2027 oil price forecasts, citing the recovery of flows through the Strait of Hormuz and easing supply constraints.

5. EXCLUSIVE: China's Hengli scraps West African, Mideast oil purchases and cuts output, sources say - Reuters

Reuters — 2026-07-02 09:39

China's Hengli scrapped West African and Mideast oil purchases and cut output, reducing demand and adding downward pressure on crude prices.

6. UK business morale slumps as Iran war pushes up costs, survey shows - Reuters

Reuters — 2026-07-02 07:05

UK business morale slumped as the Iran war pushed up costs, signaling weaker economic activity and potential headwinds for UK equities.

7. Indian shares rise as crude prices drop, IT stocks rebound - Reuters

Reuters — 2026-07-02 02:18

Indian shares rose as crude prices dropped, with IT stocks rebounding, benefiting from lower input costs and improved margins.

8. **Wall Street ends choppy session lower as tech shares drop - Reuters**

Reuters — 2026-07-01 23:34

Wall Street ended a choppy session lower as tech shares dropped, reflecting sector rotation and profit-taking after recent rallies.

9. **Trump says 'everybody's profiting' from recent market rallies — but it's mostly the 1%**

CNBC — 2026-07-02 13:56

Market rallies have primarily benefited the top 1% of U.S. households, who own 50% of equities, while 38% of households have no stock exposure, widening the wealth gap.

10. **US resumes dollar transfers to Iraq, NYT reports - Reuters**

Reuters — 2026-07-02 05:21



The US resumed dollar transfers to Iraq, easing a financial bottleneck and supporting Iraqi import stability, which may reduce regional economic friction.

Market Snapshot

Ticker	Name	Price	1D Return	Signal
US Equities				
SPY	S&P 500 ETF	745.76	-0.14%	neutral
QQQ	Nasdaq 100 ETF	725.17	-1.52%	bearish
DIA	Dow Jones ETF	522.40	+0.00%	neutral
IWM	Russell 2000 ETF	299.32	-0.38%	neutral
XLK	Technology ETF	185.62	-2.57%	bearish
XLF	Financials ETF	54.78	+2.18%	bullish
US Treasuries				
SHY	2Y Treasury ETF	81.84	-0.04%	neutral
IEF	10Y Treasury ETF	94.03	-0.24%	neutral
TLT	20Y+ Treasury ETF	85.52	-0.68%	bearish
Credit				
LQD	Investment Grade Bond ETF	108.46	-0.21%	neutral

Ticker	Name	Price	1D Return	Signal
HYG	High Yield Bond ETF	79.59	-0.01%	neutral
Commodities				
GLD	Gold ETF	370.60	+0.60%	bullish
SLV	Silver ETF	53.58	+0.21%	neutral
USO	Oil ETF	103.27	-2.98%	bearish
UNG	Natural Gas ETF	11.52	-1.71%	bearish
FX				
UUP	US Dollar Index ETF	28.49	+0.28%	neutral
FXE	Euro ETF	104.95	-0.40%	neutral
FXJ	Japanese Yen ETF	56.43	-0.02%	neutral
Crypto				
BTC-USD	Bitcoin	60003.76	+2.47%	bullish
ETH-USD	Ethereum	1608.96	+2.51%	bullish

Key Macro Indicators

Indicator	Value	As Of
Fed Funds Rate Target	3.5% – 3.75%	2026-07-02
10Y Breakeven Inflation (%)	2.23	2026-07-02
10Y-2Y Yield Spread (bp)	0.35	2026-07-02
VIX	16.59	2026-07-01
USD Index (Broad)	120.8866	2026-06-26

Major Anomalies

USO — Oil ETF -2.98%

Cause: Oil prices dropped on reports of increased Kuwaiti production following US-Iran deal, easing supply concerns.

Forward Impact: Further downside possible if OPEC+ maintains output increases amid demand uncertainty.

XLK — Technology ETF -2.57%

Cause: Technology stocks fell amid geopolitical tensions and profit-taking after recent AI-driven rally.

Forward Impact: Continued volatility expected as geopolitical risks and AI sector valuations remain elevated.

ETH-USD — Ethereum +2.51%

Cause: Ethereum gained alongside Bitcoin, driven by broader crypto market sentiment and technical upgrades.

Forward Impact: May outperform Bitcoin on network developments but faces similar macro risks.

BTC-USD — Bitcoin +2.47%

Cause: Bitcoin rose as safe-haven demand increased due to geopolitical tensions and dollar weakness.

Forward Impact: Upside limited by regulatory risks and correlation with risk assets; volatility likely.

XLF — Financials ETF +2.18%

Cause: Financials rallied on expectations of higher interest rates and reduced geopolitical risk premium.

Forward Impact: Sector may benefit from sustained rate environment but faces headwinds from potential economic slowdown.

Macro Data Releases — Today

[Calendar error: 403 Client Error: Forbidden for url: <https://finnhub.io/api/v1/calendar/economic?from=2026-07-02&to=2026-07-10&token=d88f5hpr01qq4342ton0d88f5hpr01qq4342tong>]

Economic Calendar — Next 7 Days

No upcoming macro events in the next 7 days.

Sector Heat Map

Sector Performance Heatmap			
	1D	5D	1M
Healthcare	+0.6%	+4.0%	+8.4%
Financials	+2.2%	+2.0%	+6.9%
Industrials	-1.0%	+1.8%	+6.6%
Utilities	-1.3%	-1.7%	+4.5%
Real Estate	+0.3%	-0.7%	+3.0%
Consumer Staples	+0.3%	-1.4%	+2.2%
Materials	+0.4%	-0.3%	+0.6%
Consumer Discretionary	+0.7%	+2.6%	+0.1%
Communication Services	+2.4%	+3.0%	-4.8%
Technology	-2.6%	+1.4%	-5.1%
Energy	-0.6%	-1.4%	-7.2%

Hot Now

- **Healthcare** — Strong positive returns across 1d, 5d, and 1m timeframes
- **Financials** — Robust 1d and 1m performance with consistent momentum
- **Industrials** — Positive 5d and 1m returns despite a slight 1d dip

Cold but Worth Watching

- **Technology** — Negative 1m return but positive 5d, potential reversal
- **Energy** — Negative across all timeframes, oversold conditions
- **Communication Services** — Negative 1m but strong 1d and 5d, possible turnaround

Defensive and cyclical sectors like healthcare and financials are leading, while technology and energy are lagging but may see mean-reversion.

Daily Conclusion

Markets rotated into defensive and cyclical sectors like Healthcare and Financials while selling off Technology and Energy, reflecting a risk-off shift driven by geopolitical uncertainty following Iran's week of mass mourning for its slain supreme leader.

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